Section No:

ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO101

Principles of Microeconomics

FINAL EXAM – Form B

2024 - 2025 / Fall

14 January 2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 2 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		
Final	**/100**	

Final Mark: ____ / 50

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Question One (30 points):

1. Answer the following questions in your answer sheet (5 points each)

1a. Explicit costs are:
   a. the payments to the firm's factors of production.
   b. constant in the short run.
   c. the opportunity costs of resources provided by the firm's owners.
   d. variable in the short run.

1b. A firm that is imperfectly competitive:
   a. has some control over the market price.
   b. can set any price it desires.
   c. faces a perfectly inelastic demand curve.
   d. aims to maximize revenue.

1c. A profit-maximizing firm in a perfectly competitive market must decide:
   a. both the price to set and the quantity to produce.
   b. only the industry to enter, assuming price and output are predetermined.
   c. only the price to set, assuming the output is fixed.
   d. only the quantity to produce, assuming the price is given.

1d. Accounting profit is calculated as:
   a. total revenue minus implicit costs.
   b. total revenue minus both explicit and implicit costs.
   c. economic profit minus implicit costs.
   d. total revenue minus explicit costs.

1e. Economic profit is:
   a. total revenue minus the total of explicit and implicit costs.
   b. accounting profit plus implicit costs.
   c. total revenue minus accounting profit.
   d. accounting profit minus explicit costs.

1f. A factor of production that is variable:
   a. has no impact on the law of diminishing marginal returns.
   b. can change in both the short run and the long run.
   c. can only change in the short run.
   d. is fixed in the long run but can change in the short run.

Q1

1a. _

1b. _

1c. _

1d. _

1e.

1f

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Question Two (30 points)

2. Based on the following table, answer the questions below:

2a. Fill in the table below according to the relationships among the different cost functions (7 points). **Include the formulas used for each calculation and show your calculations**. (8 points)

Output	TC	TFC	TVC	ATC	AFC	AVC	MC
0	$300						
1							$120
2			$300				
3	$1000						
4				$350			
5						$300	

2b. If the marginal revenue is $300, what production level maximizes the producer's profits? Provide an explanation for your answer.

(5 marks)

2c. Give three examples of microeconomic conditions that can cause a product's supply to rise.

(10 marks)

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Question Three (40 points)

3. Ahmed initially worked as an executive manager at an ice cream company, earning a yearly salary of $60,000. He later transitioned to a career in corporate consultancy, incurring additional expenses in the process. He hired an administrative assistant with an annual salary of $15,000 and rented office space with utilities at a monthly cost of $5,000. In his debut year as a corporate consultant, Khaled's total revenue reached $100,000.

3a. Based on the information provided, what is the implicit cost for Ahmed? (10 points)

3b. Based on the information above. What is Ahmed's explicit annual cost? (10 points)

3c. Based on the information above. What is the accounting profit for Ahmed? (10 points)

3d. Based on the information above. What is the economic profit for Ahmed? (10 points)

Best wishes

AQU TCRPT

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